SECTION 'B' (Short-Answer Questions) (30)

NOTE: Attempt THREE Questions from this Section. All questions carries equal marks.

2. ACCOUNTING EQUATION:

Given below the transactions of Mr. Majid, a sole trader, ignoring amount:
a) Mr. Majid invested cash in business
b) Purchase merchandise on account
c) Borrowed cash from bank.
d) Sold merchandise on account at more than count.
e) Paid salaries expense
f) Withdraw cash for personal use.

REQUIRED:
Indicate the effects of the above transactions on the elements of Accounting Equation using increase ".:" for decrease and "0" for no change.

3. GENERAL JOURNAL:

On August 01, 2020, Mr. Bilal Ali Shah started a business with the name of Bilal Traders by inventing cash Rs. 170,000 and furniture worth Rs. 50,000.
Aug 04: Purchased merchandise costing Rs. 80,000 out of which Rs. 20,000 paid in cash and the balance will pay later.
Aug 10: Sold merchandise for Rs. 90,000 out of which 20% were sold for cash and the balance on credit.
Aug 18: Paid cash to supplier Rs 20,000 as part payment.
Aug 23: Mr. Bilal withdrew cash Rs. 15,000 and merchandise costing Rs. 5,000 for personal use.
Aug 31: Paid Salaries to employees Rs. 10,000 in cash.
REQUIRED: Record the above transactions in a standard form of General journal.

4. CASH BOOK:

M/S Hammad Super Stores uses three column cash book for recording their cash and bank transactions. On May 01, 2021, they had cash in hand Rs. 90,000 and cash at bank Rs. 10,000. Udring the month of May, 2021, they completed the following transactions:

May
05 Received cheque from Mr. Saad Khan Rs. 15,000 in full settlement of his account of Rs. 15,250.
08 Cash sales Rs. 30,000 and credit sales Rs. 40,000
10 Purchased goods for cash Rs. 20,000
13 Deposited cheque of Mr. Saad into bank.
28 Paid cash for the rent of the office Rs. 12,000.
29 Withdrew cash Rs. 3,000 from bank for office use.

REQUIRED: (i) Bring down the opening on May-01, 2021 and record the transactions for the month of May in a three columns cash book.
ii) Balance and rule off the cash book on May 31, 2021 and bring down the balances on June 01, 2021.

5. BANK RECONCILIATION STATEMENT:

A comparison of cash book of Imran Umar Associates and the bank statement for the month of April 30,2021 revealed the following:
i) Balance as per cash book Rs. 6900.
ii) Balance as per bank statement Rs. 7000
iii) Cheque deposited but not cleared Rs. 800.
iv) Cheque issued but not presented for payment Rs. 400
v) Bank charges not recorded in Cash Book Rs. 400
vi) Direct deposit by a customer Badar Alam Shah, not recorded in the Cash Book Rs. 1400
vii) Rent credited by bank but not recorded in the cash book Rs. 400
REQUIRED: (i) Prepare a bank reconciliation statement as on April 30, 2021.
(ii) Prepare necessary adjusting entries in the general journal of Imran Umar Associates.

6. SPECIAL JOURNAL:

The following transcations were completed by Ms. Maryam during April 2021:
April 05: Purchased merchandise on account from Ather Rs. 40,000
April 10: Purchased merchandise on account from Hamid Rs. 50,000
April 15: Returned defective merchandise to Ather worth Rs. 10,000.
April 20: Returned inferior merchandise to Hamid worth Rs. 15,000
April 25: Purchase merchandise on account from Hifza Rs. 25,000
REQUIRED: Enter the above transactions in Purchase Journal and Purchase return and allowances Journal.

SECTION "C" (Detailed Answer Questions) (20)

7. FINANCIAL STATEMENT:

Given: The following are unadjusted account balances taken from the books of M/S. Abdur Rehman Traders on December 31, 2020.

	Debit	Credit
Cash	10,000	
Accounts Recievable	15,000	
Merchandise Inventory (January 1st, 2020)	10,000	
Prepaid Insurance	7,000	
Office Equipment	44,000	
Allowance for Depreciation (Office Equipment)		8,000
Accounts Payable		7,000
Capital Abdur Rehman		60,000
Drawing Abdur Rehman	8,000	
Sales Revenue		97,000
Sales Return & Allowances	7,000	
Purchases	42,000	
Purchase Discount		7,000
Transportation in	4,000	
Advertising Expense	10,000	
Office Salaries Expense	22,000	
TOTAL	179,000	179,000

Supplementary data for adjustment on December 31, 2020:
i) Prepaid Insurance Rs. 4,000
ii) Estimated depreciation on Office Equipment Rs. 5,000
iii) Advertising prepaid was Rs. 1500

iv) Merchandise Inventory on December 31, 2020 was valued at Rs 16,000
v) Allowance for Bad debts estimated Rs. 750.
REQUIRED: Attempt any TWO of the following:
a) Pass the necessary adjusting entries in General Journal
b) Prepare Income Statement for the year ended December 31, 2020
c) Prepare a classified Balance Sheet in classified account form as on

ACCOUNTING 2021

(AS PER CONDENSED SYLLABUS)

TIME: 2 Hours (Regular & Private) **(75 Marks)**

NOTE:

i) This section consists of 25 part questions and all are to be answered. Each question carries TWO marks.

ii) Do not copy the part questions in your answer book. Write only the answer in full against the proper number of the question and its part.

SECTION 'A' (Multiple Choice Questions)(50)

1. Choose the correct answer for each from the given options:

(i) The nature of sales discount account is:
* revenue * expense
* contra asset * contra revenue✓

(ii) Commission earned but not received is treated as:
* Income * Asset✓ * Liability * Expense

(iii) List of all account balances is called:
* Journal * Trial Balance✓
* Ledger * Accounting expense

(iv) Accrued expenses account nature is:
* Asset * Liability✓ * Expense * Revenue

(v) The excess of assets over capital is:
* Income * Liability✓ * Profit * expense

(vi) Rent collected in advance is recorded as:
* Prepaid Rent * Rent Income
* Unearned Rent✓ * Rent Expense

(vii) Inventory of merchandise is reported on the balance sheet as:
* Current asset✓ * Fixed Asset
* Intangible asset * Contra asset

(viii) If net profit of Safdar Traders is 25% of gross profit of Rs. 5,000/- the amount of operating expenses is:
* Rs. 1250 * Rs. 3750✓ * Rs. 4,150 * Rs. 6250

(ix) This account usually shows credit balance:
* Revenue✓ * Asset * Expense * Drawings

(x) Cost of Goods Sold plus Gross Profit is equal to:
* Net Sales✓ * Net Profit
* Operating expense * Net Loss

(xi) Cash Book is used for recording:
* Cash receipts only * Cash payments only
* Cash and Credit transactions * Cash Transactio...

(xii) Income statement is prepared to know:
* Net Income or loss✓ * Financial position
* Total assets * Total equities

(xiii) Owner's equity is decreased by:
* Net profit * Net loss✓
* Additional Investment * Gross Profit

(xiv) If assets of a business amounts to Rs. 180,000/- and its liabilities are 1/3 of its assets, then the amount of liabilities will be:
* Rs. 120,000 * Rs. 90,000 * Rs. 60,000✓ * Rs. 45,000

(xv) This cannot be classified as a liability:
* Bank Overdraft * Bank Loan
* Unearned Income * Office Supplies✓

(xvi) An Amount paid from the business for the electricity bill of the owner's residence will be treated as:
* Utilities Expense * Drawing✓
* Capital * Electricity Expense

(xvii) Journals are also called a book of:
* Final entries * Original entries✓
* Financial Statements * Trial Balance

(xviii) Current Liabilities are considered to be paid or settled:
* Within 12 months✓ * In 15 months
* Before the delivery of goods purchase * After 5 years

(xix) This account normally shows debit balance:
* Sales * Sales Return & Allowance ✓
* Accounts Payable * Capital

(xx) A brief explanation below each entry is called:
* Narration✓ * Indentation * Ruling off * Balancing

(xxi) An entry with one debit and one credit is called:
* Simple entry✓ * Compound entry
* Contra entry * Double entry

(xxii) An overdraft balance in the cash book is by nature:
* Liability ✓ * Income * Capital * Asset

(xxiii) The term imprest System is concerned with the:
* Cash Book * Purchase Journal
* Petty Cash Book✓ * Bank Reconciliation Statement

(xxiv) Uncleared Cheque refers to:
* A cheque deposited into the bank but yet not credited by the bank✓
* A cheque issued to supplier but yet not withdrawn by him
* A cheque returned un-paid by the bank
* A cheque credited by bank

(xxv) Cash book also serves the purpose of:
* Cash Ledger * Special journal
* Cash Journal✓ * Petty Cash

ACCOUNTING 2018

Time: 2 Hours 40 Minutes (Regular & Private) Marks: 80

SECTION 'B' (SHORT-ANSWER QUESTIONS)(50)

NOTE: Attempt any 04 question from this section.

2.(a) For each of the following, determine the underlined missing items:

(i) The liabilities of a business entity, having Assets of Rs.550,000 and owner's equity Rs.400,000.

(ii) The Owner's equity of a business entity, having Assets of Rs.600,000 Liabilities Rs.120,000.

(iii) The Expanses of a business entity, having Revenue Rs.210,000 and net Loss Rs.25000.

(b) Enlist the complete Accounting cycle.

3. The following are the transaction of Farhan Traders for the month of April 2018.

April 01: Mr. Farhan started his business with a cash Rs.500,000 and a shop building Rs. 800,000.

April 05: Purchased merchandise for cash Rs.100,000 and on account Rs.50,000.

April 08: Opened a bank account with cash Rs.125,000.

April 15: Issued a Cheque to the suppliers Rs.48,500 in full statement of his account Rs.50,000.

April 25: Proprietor withdraw cash Rs.15,000 and merchandise worth Rs. 4,800 business is personal use.

REQUIRED: Record the above transactions in General journal.

4. Bari & Company uses of three column cash book on January 01, 2018. The balance of cash in hand and cash at bank Rs.18,000 and Rs.35,000 respectively. The following are transaction for the month of January 2018:

January 02: Cash sale Rs.18,500, out of which 40% deposited into bank on the same day.

January 05: Cash deposited into the bank Rs.8,000.

January 10: Received a Cheque of Rs.11,950 from Jamil in full settlement of his account Rs.12,000.

January 15: Issued a cheque of Rs.5,850 to Wakeel in full settlement of his account Rs.6,000.

January 20: The cheque of Jamil deposited into bank.

January 25: Withdrew from bank Rs.8,000 for private use and Rs.7,000 for office use.

January 31: Paid salaries by Cheque Rs.14,000 and utility bills by cash Rs.5,000.

REQUIRED: Record the above transaction in a Three Column Cash Book. Balance the cash book on Jan. 31, 2018 and bring down the balance on February 01, 2018.

5. Given below in page No. 10 of the single column purchases journal of Saqib Traders, containing some irrelevant transaction recorded incorrectly by a newly appointed employee of the firm.

Mr. Saqib Traders

Date	Name Of Suppliers	P.R	Amour
05-03-2018	Purchased merchandise from Aslam & Co. term 2/10, n/30.		12,0
10-03-2018	Purchased merchandise for cash		8,0
12-03-2018	Purchased office equipment from Kashif Engineering.		20,0
15-03-2018	Purchased merchandise from Umer & Company on credit.		15,0
20-03-2018	Purchased office supplies on account from Iqbal & Sons.		1,0
25-03-2018	Purchased merchandise from Aslam & Co. term 2/10, n/30.		15,0
30-03-2018	Purchased merchandise on account from Kamil & Co. term n/30		18,0

REQUIRED:

a. Prepare a revised and correct purchase journal from the above data.

b. Set up purchase account No. 5001 appropriate controlling account in the general ledger.

6. A study of cash record and Bank statement of M/s Noman Traders of the month of March 2018 revealed the following information:

(i) Balance as per cash book Rs.55,000.

(ii) Balance as per Bank statement Rs.70,000.

(iii) Cheques of Rs.70,500 deposited in the Bank but only Rs.46,000 was credited.

(iv) Cheques of Rs.63,000 issued but only Rs.31,000 presented for payment.

(v) Direct deposit by a customer into the Bank Rs.10,000.

(vi) Dishounored Cheque Rs.3,500.

(vii) Bank services charges Rs.500.

(viii) Profit created by bank Rs.1,500.

REQUIRED: Prepare a Bank Reconciliation statement on March 31, 2018.

7. The following errors were discovered before closing the book of accounts of M/s max Company.

(i) Purchases of furniture Rs.25,000 was debited to purchase account.

(ii) Return of defective goods worth Rs.5,000 to the supplier was credit to purchases account.

(iii) Ordinary repairs costing Rs.1,300 to office equipment was debited to office equipment account.

(iv) Depreciation was overcharged by Rs.5,000 through allowance for depreciation account.

(v) Sales of old furniture for Rs.4,000 cash was recorded to sales account.

(vi) *Purchases office supplies on account for Rs.6,500 was* recorded and posted as Rs.5,600.

REQUIRED: Prepare correcting entrees in G. Journal

SECTION 'C' (DETAILED-ANSWER QUESTIONS)

Instruction: Attempt the following questions which is compulsory.

8. The following have been balances taken from the pre-closing trial balance of UWH Traders of Dec. 31, 2017.

Particulars	Debit	Credit
Cash	140,000	
Bank	100,000	
Account Receivable	75,000	
Merchandise Inventory (opening)	35,000	
Unexpired Insurance	25,000	
Purchases	230,000	
Equipment	60,000	
Purchase return		15,000
Transportation-In	5,000	
Sales Discount	5,000	
Account Payable		60,000
Bank loan		130,000
Rent Expenses	60,000	
Sales		305,000
Sales return	5,000	
Commission Income		17,000
Capital		237,000
Drawing	24,000	
Total	764,000	764,000

Data of Adjustment on December 31, 2017:

(i) Merchandise Inventory at December 31, 2017 Rs.60,000.

(ii) Unpaid Rent Rs.2,000.

(iii) Insurance Expired Rs.12,000.

(iv) Depreciation on Equipment estimated at Rs.4,000.

REQUIRED:

(1) Income Statement for the year ended Dec. 31, 2017.

OR Adjusting and Closing entries in General Journal.

(2) Balance Sheet as on December 31, 2017.

(vi) Advice received from bank that a customer Mr. Faizan had made direct deposit in the bank Rs.7,200.

(vii) Unpresented Cheques Rs. 8,000.

(viii) Issued a Cheque of Rs.1,200 for purchase of Furniture was recorded as Rs.12,000 by company's Cashier.

REQUIRED: Prepare a Bank Reconciliation Statement as of April, 2017.

SECTION 'C' (DETAILED-ANSWER QUESTIONS)(30)

INSTRUCTION: Attempt the following question which is **compulsory**.

8. Account balances and data for adjustment of Wajid Brothers at the end of June 30, 2016 are as follows:

Accounts Receivable Rs.10,000; Accounts Payable Rs.12,000; Sales Rs.105,000; Sales Return & Allowances Rs.5,000; Purchased Rs.50,000; Purchase Discount Rs.2,000; Cash Rs.50,000; Merchandise Inventory Rs.15,000; Unearned Commission Rs.18,000; Prepaid Rent Rs.8,000; Capital – Wajid Rs.71,000; Furniture Rs.20,000; Allowance for Depreciation – Furniture Rs.3,000; Carriage in Rs.2,000; Salary Expense Rs.36,000; Advertising Expense Rs.10,000; Drawing – Wajid Rs.5,000.

Data for adjustment on June 30, 2016:

(i) Merchandise Inventory on June 30, 2016 Rs.20,000.

(ii) Actual Salary for year Rs.40,000.

(iii) Depreciation on fixed assets @ of 10% of cost.

(iv) Estimated Bed Debts Exp. for the year 1% of Net Sales.

(v) Commission Income for the year Rs.12,000.

(vi) 1/2 of the Rent expired during the period.

REQUIRED:

(1) Income Statement for the year ended June 30, 2016.

OR Closing entries in General Journal

(2) Balance Sheet as on June 30, 2016 in Classified form.

(iii) Purchase office equipment Rs.15,500 recorded as purchases.

(iv) Credit sales to Mr. Amjad Rs.12,000 recorded as cash sales.

(v) Sale of merchandise Rs.15,000 on account to Mr. Jamil but was recorded as Rs.1,500.

(vi) Rent of owner's house paid by cheque Rs.10,000 recorded as Rent Expense.

REQUIRED: Record Correcting entries in G. Journal.

6. Mr. Babloo Khan, a sole trader uses three columns Cash Book. On February 01, 2017 he has cash on hand Rs.50,000 and cash at bank Rs.30,000, During the month of February 2017, he completed the following transactions.

February:

03: Purchased merchandise for Rs.10,000 paid 30% by cash and Balance by cheque.

07: Purchased furniture for cash Rs.15,000.

14: Sold goods for cash Rs.55,000. ¼ of which deposited in the Bank same day.

19: Advice received from bank that a customer Mr. Hasan Masroor has made direct deposit in bank Rs,10,000.

22: Paid owner's home utility bills Rs.5,000 by cash.

24: Withdrew cash from bank Rs.8,000 for office use.

26: Received cash Rs.13,500 from Mr. Owais Shah in full settlement of his account of Rs.14,000.

28: Issued a cheque to Mr. Akber Khan for Rs.11,000 in full settlement of his account of Rs.12,000.

REQUIRED:

(a) Enter the opening balances on February 01, 2017 and record the transaction in the Cash book.

(b) Balance the Cash book on February 28, 2017, Close it & bring down Cash and Bank Balance on March 01, 2017.

7. A study of Cash book (Bank Column) and the Bank Statement of Sarfaraz and Company for the month of April, 2017 revealed the following:

(i) Balance as per Cash book (Cr.) Rs.6,300.

(ii) Cheque Rs.10,000 deposit on April 30, 2017 not shown by bank.

(iii) Debit memo for a cheque Rs.1,700 of Mr. Yasir Aziz marked NSF.

(iv) Balance as per Bank Statement (Dr.) Rs.14,600.

(v) Cheques deposit into the bank Rs.32,600. The bank cleared only Rs.10,000 cheques.

ACCOUNTING 2017

Time: 2:40 Hours (Regular & Private) Marks: 80

SECTION 'B' (SHORT - ANSWER QUESTIONS)

NOTE: Attempt any Five questions. (50)

2.(a) State the rules of Debit and Credit for the following:
- (i) Increase in owner's capital
- (ii) Decrease in office supplies.
- (iii) Decrease in note payable.
- (iv) Increase in Bank overdraft.
- (v) Increase in office furniture.
- (vi) Decrease in owner's capital.

(b) Write the effect of the following transactions on accounting equation. Increase will be shown as (+), decrease as (-) and no effect as (0):
- (i) Purchased merchandise for cash.
- (ii) Borrowed cash from bank.
- (iii) Paid to supplier by cheque.
- (iv) Received advance commission from client.
- (v) Purchased equipment on credit from Mr. Kashif.
- (vi) Owner withdrew cash from business for his personal use.

3. On March 01, 2017 Mr. M. Hassan Khan started a business with cash investment of Rs.300,000.
The following transactions were completed during the month:

March:
- 03: Opened a bank account with Rs.100,000.
- 08: Purchased furniture from Mr. Babar Rs.50,000 on a/c.
- 12: Purchased two computers Rs.20,000 each on cash.
- 18: Purchased merchandise from Mr. Faraz Rs.25,000 on account and Rs.10,000 on cash.
- 24: Sold merchandise to Mr. Asif Rs.20,000 on account.
- 29: Paid salaries to staff Rs.40,000, by cheque Rs.15,000 and balance in cash.

REQUIRED: Record the above transactions in General Journal of Mr. M. Hassan Khan.

4. Following are the selected transaction of Sadaf Co. for the month of April, 2017:

April:
- 03: Sold merchandise to Shamim & Co. Rs.7,250 invoice No. 3212.
- 07: Sold merchandise to Nasim Traders Rs.8,200 invoice No. 3213.
- 10: Merchandise returned from Shamim & Co. Rs.600 issued credit memo No. 124.
- 13: Issued invoice No 3214 to Nigar Zehra for merchandise sold Rs.8,750.
- 15: Sold merchandise to Raza Bros. for Rs.15,150 invoice No. 3215.
- 16: Merchandise returned from Nigar Zehra Rs.775 credit memo No. 126..
- 20: Credit Sales to Azhar Bros. Rs.3,300 invoice No. 3216.
- 25: Merchandise returned from Azhar Bros. Rs.50 credit memo No. 128.

REQUIRED: Prepare Sales Journal (22) and Sales Return & Allowance Journal (15) and pass the entries on April 30, 2017.

5. The following errors were found from the books of a/c. of Mr. Mushtaq Ahmed Maher before closing of books:
- (i) Expense on Repair & Maintenance of Machinery Rs.5,000 are entered in Machinery account.
- (ii) Received cash Rs.10,000 from a customer Usman Brothers but entered in Usman & Sons account.

- Gross profit is equal to Net income
- Gross profit is equal to zero

(xiii) Bank overdraft is a/an: • Current asset
- Fixed asset • Current liability • Expense

(xiv) Excess of expenses over revenue is called:
- Gross profit • Net profit • Net loss
- Net income before other income

(xv) If total assets are Rs.1,50,000, in which 1/3 are liabilities, then Capital is:
- Rs.30,000 • Rs.75,000 • Rs.1,00,000 • Rs.1,50,000

(xvi) Merchandise, withdrawn by owner for his personal use, is known as:
- Capital • Drawing • Personal use • Merchandise

(xvii) This one is not a Book of original entry:
- Sales Journal • Trial Balance
- Purchase Journal • Cash book

(xviii) In sole proprietorship business, net profit is transferred to:
- Capital A/c • Drawing A/c • Current A/c • Bank A/c

(xix) This account will be credited for recording advance collection of Rent: • Advance Rent
- Prepaid Rent • Unearned Rent • Rent receivable

(xx) Rent receivable is a/an:
- Asset • Liability • Expense • Revenue

ACCOUNTING 2017

Time: 20 Minutes (Regular & Private) Max. Marks: 20

SECTION "A" (MULTIPLE CHOICE QUESTIONS)

1. Choose the correct answer for each from the given options:

(i) Closing entries are made to close:
- Assets A/c
- Liabilities A/c
- Revenues & Expenses A/c
- Capital A/c

(ii) Credit note issued is entered in:
- Sales Journal
- Sales Return & Allow. Journal
- Purchase Journal
- Purchase Return & All. Journal

(iii) This account is usually has a Debit balance:
- Unearned Commission
- Purchase account
- Purchase Return account
- Sales account

(iv) Commission received but not yet earned is:
- Assets
- Liability
- Expense
- Revenue

(v) An accounting book, used for small expenses recording, is known as:
- Cashbook
- Ledger
- Petty cashbook
- Journal

(vi) All are examples of Fixed Assets except:
- Buildings
- vehicles
- Equipments
- Supplies

(vii) An entry with more than one debit or more than one credit is called:
- Contra entry
- Double entry
- General entry
- Compound entry

(viii) To determine arithmetic accuracy of double entry accounting system, we can prepare:
- Income Statement
- Balance Sheet
- Cash book
- Trial Balance

(ix) Gross profit =:
- Purchase – Sales
- Sales – Operating exp
- Sales + Operating Exp.
- Sales – cost of goods sold

(x) Allowance for bad debts account is:
- Assets A/c
- Liability A/c
- Contra assets A/c
- Expense A/c

(xi) This one of the following balance sheet equations is correct:
- Liabilities – Assets = Capital
- Capital = Assets + Liabilities
- Assets = Liabilities + Capital
- Assets = Liabilities – Capital

(xii) If Net sales and Cost of goods sold are equal, then:
- Gross profit is more than Cost of goods sold
- Gross profit is less than Cost of goods sold